15. Prepare trading and profit and loss account and balance sheet from the following trial balance of Madan as on 31st March, 2018

Debit balance	₹	Credit balance	₹
Sundry debtors	61,000	Capital	70,000
Plant and machinery	80,000	Purchases return	2,000
Bank charges	4,200	Sales	2,55,000
Wages	7,000	Bank overdraft	77,000
Sales return	5,000		
Purchases	1,52,000		
Opening stock	30,000		
Drawings	22,000		
Establishment expenses	20,000		
Bad debts	800		
Business premises	22,000		
	4,04,000		4,04,000

Adjustments:

(a) The closing stock was ₹ 80,000
(b) Provide depreciation on plant and machinery @ 20%
(c) Write off ₹ 800 as further bad debts
(d) Provide the doubtful debts @ 5% on sundry debtors

(**Answer**: Gross profit ₹ 1,43,000; Net profit ₹ 98,190; Balance sheet total ₹ 2,23,190)

16. From the following information prepare trading and profit and loss account and balance sheet of Kumar for the year ending 31st December, 2017.

Debit balance	₹	Credit balance	₹
Purchases	14,500	Sales	20,100
Coal and fuel	600	Bills payable	400
Carriage inwards	750	Rent received	2,500
Advertisement	500	Creditors	2,000
Carriage outwards	400	Capital	5,000
Bank	1,200		
Furniture	8,000		
Debtors	2,250		
Bills receivable	300		
Stock on 1st January, 2017	1,500		
	30,000		30,000

Adjustments:

a) The closing stock on 31st December, 2017 was valued at ₹ 3,900.
b) Carriage inwards prepaid ₹ 250
c) Rent received in advance ₹ 100
d) Manager is entitled to receive commission @ 5% of net profit after providing such commission.

(**Answer**: Gross profit ₹ 6,900; Manager's commission ₹ 400;
Net profit ₹ 8,000; Balance sheet total ₹ 15,900)

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